fuelled largely by food and other supply shocks over which monetary policy has little impact. Our actions, they contended, would not tame inflation; they would only end up stifling growth. ‘Is this man killing India’s growth?’ was the dramatic title of a feature in the *Economic Times* of 17 September 2011.

Let me respond to this criticism from both ends of the spectrum.

To those who say we were behind the curve and failed to close the monetary spigots in good time, my simple response is to recall the context of the years 2010 and 2011. The world economy was still in recession and the much-heralded spring shoots turned out to be a false dawn. The eurozone crisis was pounding global markets; confidence all around was fragile, and markets remained testy. And as we learnt from the experience of the post-Lehman developments, India remained vulnerable to adverse external developments, especially as the eurozone kept the global financial sector on tenterhooks by moving from one ‘five minutes to midnight solution’ to another. Our ‘baby steps’ were therefore a delicate balancing act between preserving stability on the one hand and restraining inflation on the other.

With the benefit of hindsight, of course, I must admit in all honesty that the economy would have been better served if our monetary tightening had started sooner and had been faster and stronger. Why do I say that? I say that because we now know that we had a classic V-shaped recovery from the crisis, that growth had not dipped in the Lehman crisis year to as low as had been feared, and that growth in the subsequent two years was stronger than earlier thought. But remember, all this is hindsight, whereas we were making policy in real time, operating within the universe of knowledge at that time.

Let me now respond to the doves—inclusive of senior officials and advisers in the government—who argued that the Reserve Bank was too hawkish in its inflation stance.

First, I do not agree with the argument that the Reserve Bank failed to control inflation and only ended up stifling growth. WPI inflation had come down from double digits to below 5 per cent (April–May 2013); core